Developing Educational and Vocational Aspirations through International Child Sponsorship: Evidence from Kenya, Indonesia, and Mexico

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Motivation & Research Question

Child sponsorship programs transfer resources from wealthy sponsors to children in developing countries:

- School fees, uniforms, nutritious meals, healthcare
- Monthly contribution: $25–40; avg. duration: 9 years
- Compassion International: >2 million children, 25 countries

Prior work (Wydick et al. 2013, 2017) finds **large adult life impacts**: schooling, employment, income.

The open question: sponsorship programs also invest heavily in **socio-emotional development** — self-esteem, optimism, aspirations. Does this matter?

This paper asks:

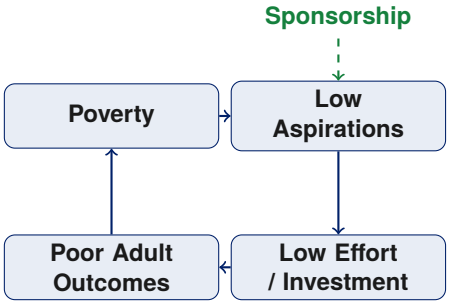
Does Compassion International's child sponsorship program increase **self-esteem**, **optimism**, and **educational/vocational aspirations** among sponsored children?

And do these psychological gains **mediate** the program's effects on schooling?

A growing theoretical literature shows that **low aspirations** can sustain poverty independently of material constraints:

- Ray 2006: aspirations failures create self-reinforcing traps
- Genicot and Ray 2017: aspirations and inequality diverge in equilibrium
- Lybbert and Wydick 2018: relaxing *both* internal and external constraints may be necessary

Interventions that raise aspirations can break the cycle — but **causal evidence is scarce**.



Sponsorship breaks the trap by raising aspirations directly.

Wydick et al. 2013 study 9,144 adults across 6 countries who were sponsored as children:

- **+12–18 pp** increase in secondary school completion (baseline: 44.5%)
- **+6.6 pp** probability of white-collar employment
- **+$13–17/month** income over a $75 baseline

Wydick et al. 2017: sponsorship effects on income and wealth persist into adulthood. These are **large relative to other celebrated interventions** (e.g., Progresa CCT: +0.66 years of education).

Why is the effect so large?

Standard explanations (fees, uniforms, meals) are *also* provided by Progresa — yet Compassion's effects are $2\times$ larger.

Hypothesis: Non-pecuniary inputs — self-esteem, optimism, and aspirations — are part of the answer.

Despite strong reduced-form evidence on adult outcomes, **the psychological channel has not been credibly identified**:

- No multi-country study of sponsorship effects on psychology
- No causal identification of aspirations effects with plausible exogenous variation
- No mediation analysis linking psychological gains to schooling outcomes

Companion paper: Glewwe et al. 2018 use children's self-portraits in Indonesia to measure hopefulness — suggestive but single-country and qualitative.

This paper fills the gap:

1. **Multi-country** causal evidence on psychology
2. **Age-eligibility IV** for exogenous sponsorship
3. **Mediation analysis** linking aspirations to grade completion

Three questions:

1. Does sponsorship increase **self-esteem**, **optimism**, and **aspirations** among currently sponsored children?
2. Does it increase **grade completion**?
3. Do psychological gains **mediate** the schooling effect?

Sample: 2,022 children in Kenya, Indonesia, and Mexico

Preview of main findings:

Sponsorship increases self-esteem **(+0.25σ)**, optimism **(+0.26σ)**, and aspirations **(+0.29σ)**

Grade completion: **+0.56 years**

Aspirations mediate **$\approx$10%** of the schooling effect

Contribution to the Literature

Theoretical foundations:

- Ray 2006: aspirations as a reference point in utility — convex below, concave above; failures create poverty traps
- Dalton et al. 2016: poverty reduces cognitive bandwidth for setting aspirations
- Genicot and Ray 2017: aspirations and inequality: divergence vs. convergence equilibria
- Lybbert and Wydick 2018: model of aspirations windows — relaxing *both* constraints matters

Common theme:

Internal constraints (aspirations, self-efficacy, hope) can trap the poor as effectively as external constraints (credit, access).

Programs that address *both* may be transformative.

Empirical evidence on psychological interventions:

- Bénabou and Tirole 2003: encouragement raises self-esteem $\rightarrow$ academic achievement
- Laajaj 2017: pessimism about the future $\rightarrow$ shortened planning horizon; savings intervention expands it
- Baranov et al. 2020: maternal depression treatment raises children's human capital investments

General finding: psychological interventions have positive but **heterogeneous** impacts (Anderson 2008 indices help address multiple testing).

Methodological challenge:

Most studies use single-country data, lack credible instruments, or focus on adults.

We study *currently sponsored children* with a sharp age-based instrument across *three countries*.

Three innovations relative to existing work:

1. **Multi-country causal identification**: IV based on program age-eligibility rule in Kenya, Indonesia, and Mexico simultaneously
2. **Psychological outcomes**: direct measurement of self-esteem, optimism, and educational/vocational aspirations using validated scales
3. **Mediation analysis**: formal test of whether psychological gains mediate observed schooling effects

Policy relevance:

If aspirations mediate adult outcome effects, then program design should **explicitly prioritize** socio-emotional skill development — not just material inputs.

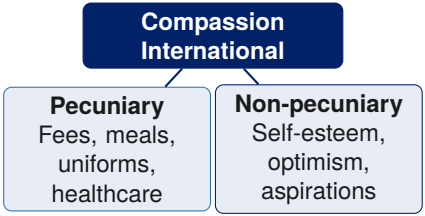
Sponsorship programs transfer $\approx$\$3.4 billion/year to children in developing countries (Wydick et al., 2013).

Institutional Background & Data

Program features:

- Faith-based Christian organization; $>$2M children in 25 countries
- Monthly sponsorship $\approx$ \$25–40; program lasts $\approx$9 years on average
- Weekly tutoring/child development: 4–8 hours, 48 weeks/year
- Child–sponsor relationship: letters, photos, gifts

Key feature: Unlike CCTs, Compassion emphasizes **holistic child development** — the non-pecuniary components are as central as the material ones.



This paper focuses on the **non-pecuniary** branch.

Country	Treatment sites	Control	N	Fieldwork
Kenya	Rironi, Isinya, Njoro	Siblings	570	May–Jul 2011
Indonesia	Jakarta, 4 sites	Waitlist HH	526	May–Jul 2012
Mexico	4 villages, Oaxaca & Chiapas	Neighboring villages	926	Jun–Jul 2017
Total			**2,022**	

- Sites selected to exploit the **age-eligibility rule**: children $\leq$9 years old at program rollout were eligible
- Surveys conducted by university students unaffiliated with Compassion

Cross-country differences:

Kenya: siblings only as controls
Indonesia: waitlist households
Mexico: neighboring villages

$\Rightarrow$ IV absorbs these differences

Group	Description	N (pooled)
Sponsored children	Currently enrolled in Compassion program	956
Non-sponsored siblings	Next oldest/youngest sibling in same household	varies
Waitlist households	On Compassion waitlist (Indonesia)	79
Control villages	Neighboring communities without program (Mexico)	217

- Age range: 10–18 at survey (Kenya); 8–18 (Indonesia); 10–18 (Mexico)
- Limit per household: 1 (Kenya), 2 (Indonesia), 3 (Mexico)
- Interviews conducted away from parents, teachers, and Compassion staff

Key design choice:

Comparison groups chosen to address *all three* endogeneity concerns (community, household, within-household selection)

Three summary indices (Anderson 2008 methodology):

- **Self-esteem index**: Rosenberg (1965) 10-item scale; demean + normalize within community
- **Optimism index**: General Social Survey items on future hopefulness and optimism
- **Aspirations index**: Composite of hope/expectation for white-collar job + years of education expected

Schooling outcome:

- **Grade completion**: years of education completed at time of survey

Why summary indices?

Multiple outcomes $\Rightarrow$ multiple testing problem. Anderson (2008) indices:

- Weight by inverse covariance
- Reduce false discovery rate
- Provide concise test of "general effect"

FDR q-values reported for all results.

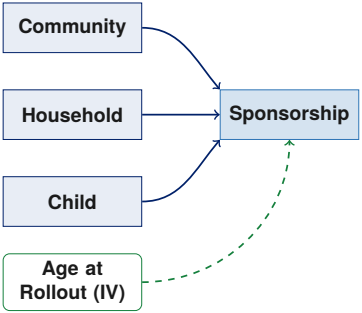
	All	Sponsored	Non-Sponsored	Difference
Self-Esteem Index	−0.002	0.032	−0.036	0.068
Optimism Index	−0.000	0.080	−0.080	0.160***
Hope: White-collar (%)	71.5	69.4	73.5	0.042**
Expect: White-collar (%)	67.5	69.0	66.1	0.029
Years of Education Exp.	14.92	15.13	14.71	0.419***
Aspirations Index	−0.001	0.068	−0.060	0.136***
Age	12.62	12.17	13.07	−0.902***
Father: White-collar	18.9%	20.8%	17.1%	0.037**
Observations	2,022	956	1,066	

Sponsored children are younger (−0.9 years) and from households where fathers are more likely to have white-collar jobs — motivating the IV strategy.

Empirical Strategy

Comparing sponsored to non-sponsored children is **not** straightforward. Three potential biases:

1. **Community selection**: Compassion targets needier communities ⇒ treatment communities differ on observables
2. **Household selection**: Compassion targets neediest households within communities ⇒ biases toward zero
3. **Within-household selection**: Parents choose the "neediest" child ⇒ downward bias on intra-household estimates



The IV provides exogenous variation in sponsorship,
bypassing all three selection biases.

Key institutional feature: Children had to be $\leq$**9 years old** when a Compassion program was introduced in their community to be eligible for sponsorship.

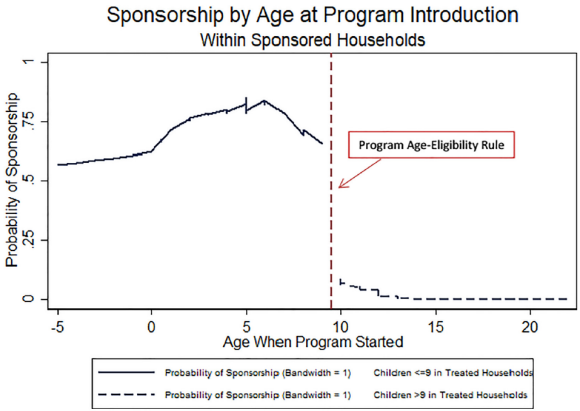
This creates exogenous variation *within households*:

- Older siblings (age $>$9 at rollout): ineligible $\Rightarrow$ low sponsorship probability
- Younger siblings (age $\leq$9 at rollout): eligible $\Rightarrow$ high sponsorship probability

Instruments: Dummies for child's age at time of program rollout (ages -3 to $+9$; excluded group: age ≥ 10)

Age at program rollout affects psychological outcomes *only* through its effect on sponsorship status — not through direct age effects on psychology, conditional on controls.

Controls include: current age, gender, birth order, household FE.



Reading the figure:

- X-axis: child's age when program started
- Y-axis: probability of being sponsored (bandwidth = 1)
- **Solid line**: children in treated households, age ≤ 9 at rollout
- **Dashed line**: children in treated households, age > 9 at rollout

First stage (community fixed effects):

$$T_i = \alpha_v + \varphi' \mathbf{X}_{ij} + \lambda' \mathbf{Z}_i + \delta C_j + \gamma S_j + u_{ijv}$$

First stage (household fixed effects):

$$T_i = \alpha_j + \varphi' \mathbf{X}_i + \lambda' \mathbf{Z}_i + u_{ijv}$$

where $\mathbf{Z}_i$ = vector of **age-at-rollout dummies** (ages -3 to $+9$), the excluded instruments.

Key controls:

$\mathbf{X}_{ij}$: age, gender, birth order, dwelling quality, parental occupation

C_j: dummy for sponsored household (Indonesia, Mexico)

S_j: dummy for sponsored village (Mexico)

α_j: household FE (preferred spec.) — absorbs all between-household differences

Second stage (community FE):

$$y_{ijv} = \alpha_v + \gamma \widehat{T}_i + \beta' \mathbf{X}_{ij} + \pi C_j + \delta S_j + e_{ijv}$$

Second stage (household FE):

$$y_{ijv} = \alpha_j + \gamma \widehat{T}_i + \beta' \mathbf{X}_i + e_{ijv}$$

where $\widehat{T}_i$ = instrumented probability of sponsorship.

Preferred specification: household FE + demographic controls (Panel D in results tables)

Estimation notes:

Standard errors clustered at household level.

Equal country weights in pooled estimations.

FDR q-values (Anderson 2008) for the 3 summary indices to correct for multiple testing.

	Kenya	Indonesia	Mexico	Pooled
Age at rollout dummies	(coefficients for ages 3–9 all positive and significant)			
Households	207	259	236	703
Observations	455	518	531	1,506
F-statistic (instruments)	**75.38**	**28.43**	**8.07**	**36.73**

- Age-at-rollout dummies strongly predict sponsorship across all countries
- Kenya: strongest first stage (F = 75); Mexico: weakest but adequate (F = 8)

Children who were $\leq$9 years old when the program arrived are substantially more likely to be sponsored than their older siblings — as expected from the eligibility rule.

Pooled Results

Preferred specification: 2SLS with household fixed effects + demographic controls (Panel D, Table 8).

Sponsorship has **positive and statistically significant** causal effects on:

- Self-esteem: **+0.255**σ ($p < 0.05$)
- Optimism: **+0.259**σ ($p < 0.05$)
- Aspirations index: **+0.292**σ ($p < 0.05$)
- Grade completion: **+0.56 years** ($p < 0.01$)

All six 2SLS estimates in Panel D are **positive**; three are significant at $p < 0.05$.

Key result:

Sponsorship significantly raises children's psychological well-being and aspirations, with effects consistent across multiple specifications and index construction methods.

These effects are **larger in 2SLS than OLS**, consistent with negative within-household selection.

	Self-Esteem Index		Optimism Index	
	OLS	2SLS	OLS	2SLS
Panel A: Community FE, No Controls	0.043	-0.235^{**}	0.087	0.018
Panel B: Community FE + Controls	0.112^{**}	0.041	0.159^{***}	0.348^{***}
Panel C: Household FE, No Controls	0.068	0.084	0.008	0.051
Panel D: HH FE + Controls	$\mathbf{0.108}^{*}$	$\mathbf{0.255}^{**}$	**0.053**	$\mathbf{0.259}^{**}$
Households (Panel D)	533	697	533	697

- 2SLS $>$ OLS in preferred spec: consistent with Compassion targeting neediest children (downward OLS bias)

FDR q-values (Panel D):
Self-esteem: $q = 0.021$
Optimism: $q = 0.021$

Robust to multiple testing.

	OLS	2SLS
Panel A: Community FE, No Controls	0.139**	0.387***
Panel B: Community FE + Controls	0.107*	0.466***
Panel C: Household FE, No Controls	0.125**	0.279**
Panel D: HH FE + Controls	**0.102**	**0.292****

- Aspirations show the **most consistent** positive effects across all 8 panels (all positive, 7 of 8 statistically significant)
- FDR $q = 0.005$ in Panel B; $q = 0.261$ in preferred Panel D (less precise within-HH)
- Component indices: hope and expectation for white-collar job both positive but smaller and less significant

Aspirations is the **most robustly affected** psychological dimension.

Children under Compassion's care develop stronger goals for education and career — the key input to the mediation story.

	OLS		2SLS	
	Comm. FE	HH FE	Comm. FE	HH FE
No additional controls	0.332***	0.282***	0.526***	0.564***
With demographic controls	0.286***	0.300***	0.555***	0.567***
Households (HH FE + controls)	534		698	

- 2SLS: sponsorship increases grade completion by **0.56 years** (preferred spec.)
- Effect consistent across all 8 specifications ($p < 0.01$ throughout)
- Smaller than adult retrospective estimates in Wydick et al. 2013 (1.03–1.46 years) — children still enrolled

Sponsorship **raises current grade completion by 0.56 years** among children still in the program — a meaningful early-life effect consistent with aspirations-driven effort.

Outcome	Estimate	Std. Error	Significance
Self-Esteem Index	+0.255σ	(0.110)	$p < 0.05$
Optimism Index	+0.259σ	(0.109)	$p < 0.05$
Hope: White-collar (%)	+0.077	(0.048)	$p < 0.10$
Expect: White-collar (%)	+0.046	(0.052)	n.s.
Education Expected (yrs)	+0.437	(0.236)	$p < 0.10$
Aspirations Index	+0.292σ	(0.119)	$p < 0.05$
Grade Completion (yrs)	+0.567	(0.131)	$p < 0.01$

Preferred specification: 2SLS, household fixed effects, demographic controls (Panel D). Standard errors clustered at household level.

Sponsorship produces broad, positive psychological effects. All point estimates are positive — the combination of uniformly positive estimates with multiple significant results provides strong evidence of a general program effect on child well-being.

Heterogeneity by Country

2SLS, household FE + controls (Table 6, Panel A):

- Self-Esteem: **+0.336**σ^{***}
- Optimism: -0.001 (n.s.)
- Hope for white-collar: **+0.114 pp*****
- Grade completion: **+0.555 years*****
- Aspirations Index: **+0.368**σ^{***}

Strongest effects of all three countries. Self-esteem and aspirations both significant at $q < 0.01$.

Why Kenya?

Kenya has the most challenging baseline conditions: lower education, worse employment, lower income. Wydick et al. 2013 find larger adult impacts in Sub-Saharan Africa too.

Internal constraints may matter *more* when external conditions are worse.

2SLS, household FE + controls (Table 6, Panel B):

- Self-Esteem: +0.138 (n.s.)
- Optimism: **+0.512**σ^{***}
- Hope for white-collar: +0.057 (n.s.)
- Grade completion: +0.529 years ($p < 0.01$)
- Aspirations Index: +0.225 (n.s.)

Optimism is the standout effect. Self-esteem and aspirations positive but imprecisely estimated.

Note on Indonesia sample:

Includes non-sponsored children from *waitlist* households (needier than random comparison group) $\Rightarrow$ comparison group is already disadvantaged $\Rightarrow$ may compress effect estimates.

Robustness: restricting to 1–2 child households yields similar results.

2SLS, household FE + controls (Table 6, Panel C):

- Self-Esteem: -0.004 (n.s.)
- Optimism: -0.280 (n.s.)
- Hope for white-collar: -0.102 (n.s.)
- Grade completion: **+1.539 years** (large but SE = 1.035)
- Aspirations Index: $+0.402$ (n.s.)

Point estimates generally positive (except optimism), but **statistically insignificant** throughout due to large standard errors.

Why imprecise in Mexico?

Lowest F-statistic (8.07) $\Rightarrow$ weaker first stage.

Shortest average sponsorship duration (3.98 years vs. 7.0 in Kenya) $\Rightarrow$ smaller exposure.

Comparison: non-sponsored from *neighboring* villages (not same household).

Three contributing factors:

1. **Counterfactual conditions**: Effects larger where baseline conditions are worse (Kenya $>$ Indonesia $>$ Mexico). Consistent with a "room to grow" in aspirations.
2. **Years of sponsorship**: Kenya 7.0 yrs, Indonesia 7.3 yrs, Mexico 3.98 yrs. Longer exposure $\Rightarrow$ stronger effects.
3. **Precision**: Kenya has the strongest first stage (F = 75) and tightest within-household comparisons.

Broader lesson:

Child sponsorship's psychological impact is **context-dependent**: it matters more where children face greater internal and external constraints at baseline.

This is consistent with Wydick et al. 2013, who find the largest adult impacts in Sub-Saharan Africa.

Mediation Analysis

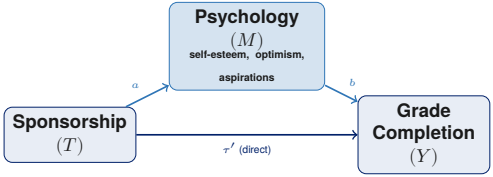
We know sponsorship raises:

- Psychological indices (self-esteem, optimism, aspirations)
- Grade completion (+0.56 years)

Key question: do the psychological gains *causally explain* the schooling gains?

If aspirations rise, children may:

- Study harder (effort channel)
- Stay in school longer (dropout reduction)
- Self-select into higher grades (aspiration-congruent behavior)



Indirect: $a \times b$ Total: $\tau = \tau' + a \times b$

Baron & Kenny (1986) / Preacher & Hayes (2008) framework:

Three estimating equations:

$$Y = \tau_0 + \tau T + \varepsilon_R \quad \text{(reduced form)}$$

$$M = a_0 + aT + \varepsilon_M \quad \text{(mediator equation)}$$

$$Y = b_0 + bM + cT + \varepsilon_Y \quad \text{(outcome equation)}$$

Indirect effect: $a \times b$; standard errors via bootstrapping.

M may be correlated with ε_Y (e.g., parental support for schooling raises both aspirations and grades).

If Cov$(M, \varepsilon_Y) > 0$: estimate of b is *upward biased*.

$\Rightarrow$ Our $a \times b$ is an **upper bound** on the mediated effect.

We interpret significance of $a \times b$ as a *necessary condition* for mediation.

Mediator	Point Est. ($a \times b$)	CI 90%	CI 95%
Panel A: OLS			
Aspirations	0.0258	[0.0002, 0.0544]	[−0.0046, 0.0608]
Self-esteem	0.0114	[0.0003, 0.0270]	[−0.0009, 0.0311]
Optimism	0.0062	[−0.0014, 0.0184]	[−0.0029, 0.0219]
Panel B: 2SLS			
Aspirations	0.0543	[0.0097, 0.1054]	[0.0020, 0.1173]
Self-esteem	0.0202	[0.0008, 0.0480]	[−0.0013, 0.0554]
Optimism	0.0151	[−0.0029, 0.0405]	[−0.0063, 0.0480]

Confidence intervals from bootstrap (data quartiles). Total 2SLS effect on grade completion: 0.567 years.

- **Aspirations**: mediates ≈10% of total effect ($p < 0.05$, 2SLS)
- **Self-esteem**: mediates ≈5% ($p < 0.10$, 2SLS)
- Optimism: positive but insignificant

Aspirations are the **primary psychological channel** linking sponsorship to schooling outcomes.

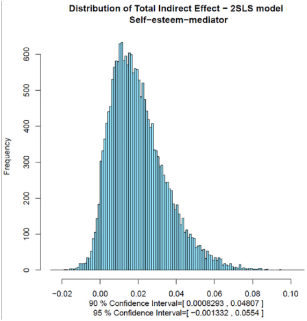


Fig. 2A. Mediation of Program Impact of Self-Esteem on Schooling *Note:* The graph shows the distribution of the mediation estimate of self-esteem on schooling. The distribution is built by bootstrap. Data quartiles are used to build confidence intervals at the 90% and 95% level.

Self-Esteem

90% CI excludes 0

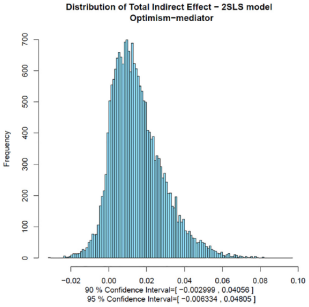


Fig. 2B. Mediation of Program Impact of Optimism on Schooling *Note:* The graph shows the distribution of the mediation estimate of optimism on schooling. The distribution is built by bootstrap. Data quartiles are used to build confidence intervals at the 90% and 95% level.

Optimism

CI straddles 0 — not significant

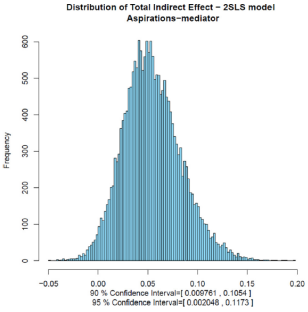


Fig. 2C. Mediation of Program Impact of Aspirations on Schooling *Note:* The graph shows the distribution of the mediation estimate of aspirations on schooling. The distribution is built by bootstrap. Data quartiles are used to build confidence intervals at the 90% and 95% level.

Aspirations

90% & 95% CI both exclude 0

Bootstrap confidence intervals (data quartiles). Aspirations is the primary mediating channel. Imai et al. (2011) method yields similar results.

Robustness

Panel A of Table 11: Replace Anderson (2008) indices with Kling, Liebman & Katz (2007) equal-weight indices.

Results (2SLS, HH FE + controls, pooled):

- Self-Esteem: **+0.243**σ^{**}
- Optimism: **+0.283**σ^{***}
- Aspirations: **+0.256**σ^{**}

Virtually identical to preferred estimates.

Results are **not sensitive** to the index construction method: Anderson (2008) and Kling et al. (2007) agree.

Panel B: Restrict Indonesia to households with 1–2 children.

- Addresses concern that Indonesia sample self-selected siblings to bring to session
- Self-esteem: +0.286***; Aspirations: +0.299**
- Results **robust** or stronger

Panel C: Drop non-sponsored children outside the age range of sponsored children.

- Ensures age-matched comparisons
- All point estimates positive; similar magnitude
- Aspirations: +0.237* ($p < 0.10$)

Neither sample restriction changes the substantive conclusions.

The psychological effects of child sponsorship are robust to alternative comparison group definitions.

Concern: Sponsored children's psychological gains might come at the expense of their non-sponsored siblings (relative deprivation).

Test: Placebo regression comparing non-sponsored siblings of sponsored children to children in unsupported households. Table A14 reports the following results:

- 5 of 6 outcomes: point estimate is **positive**
- 1 negative (optimism): -0.001σ — economically negligible
- No statistically significant differences

No evidence of negative spillovers.

Non-sponsored siblings in Compassion households are not psychologically harmed.

Consistent with Wydick et al. 2013: positive spillovers on younger siblings in school completion.

Conclusions

What sponsorship does:

- **Raises self-esteem** by $\approx 0.26\sigma$ (pooled 2SLS)
- **Raises optimism** by $\approx 0.26\sigma$
- **Raises aspirations** by $\approx 0.29\sigma$ — most robust effect
- **Increases grade completion** by 0.56 years

How it works (mediation):

- Aspirations mediate $\approx$**10%** of grade completion gains
- Self-esteem mediates $\approx$5% (marginally significant)

Key takeaway:

The non-pecuniary components of child sponsorship — building self-esteem, optimism, and aspirations — **matter causally** for children's educational trajectories.

Effects are largest where baseline conditions are worst (Kenya).

Why aspirations matter for grade completion:

- Higher aspirations create a **reference point** in the utility function above which effort is increasing (Lybbert and Wydick 2018)
- Children who aspire to more education are less likely to drop out
- Growing aspirations may trigger a **sequential** process: secondary aspiration $\rightarrow$ university aspiration $\rightarrow$ sustained effort

The remaining $\approx$90% of the grade completion effect is likely driven by **material inputs**: school fees, uniforms, nutritious meals.

Implication for program design:

Material and psychological inputs are **complements**, not substitutes.

Programs that bundle both (like Compassion) outperform those offering only one — consistent with their $2\times$ advantage over Progresa.

Development economics has long focused on **external constraints**: credit, technology, infrastructure.

Our results contribute to growing evidence that **internal constraints** — aspirations, self-esteem, hopelessness — are independent drivers of poverty.

Policy implication: Poverty reduction programs should explicitly measure and target psychological mediators, not just material outcomes.

Broader lesson:

Alleviation of *internal* constraints is a **strong complement** to addressing external ones.

Programs that ignore aspirations, self-esteem, and hope may be leaving substantial welfare gains on the table.

What this paper contributes:

- First multi-country causal study of sponsorship effects on child psychology
- First mediation analysis linking these effects to grade completion
- Evidence that effects are context-dependent (strongest where baseline is lowest)
- No negative spillovers onto siblings

Open questions:

- Which program components (tutoring, sponsor relationship, spiritual formation) drive the aspirations effects?
- Do aspirations gains persist into adulthood?
- Are effects heterogeneous by gender, birth order, or parental education?

Agenda for future work:

Decomposing the "bundle" of program inputs to identify which non-pecuniary elements are most effective.

Long-run follow-up of the children in this sample as they reach adulthood.

Main finding:

Compassion International's child sponsorship program causally increases **self-esteem**, **optimism**, and **educational aspirations** among currently sponsored children in Kenya, Indonesia, and Mexico — and these psychological gains mediate a meaningful share of the program's effects on grade completion.

Take-home message:

Addressing **internal constraints** is not merely complementary to poverty reduction — it is part of the mechanism through which well-designed interventions create lasting human capital.

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